

Running it, and owning part of it

The Chief Operating Officer role, what it pays, what you would own, and what you would be giving up

Charlie has a business that works and a plan to make it four to seven times bigger. What it does not have is somebody to run it while that happens - and it cannot be him, because he is the one who has to sell, estimate and design. That is the job on offer here.

This document does not try to sell you anything. It sets out the numbers as the model actually produces them, including the two years where you would earn less than you do now, and the specific ways an arrangement like this goes wrong between friends.

What the job actually is

Today Charlie is the salesman, the estimator, the designer, the foreman, the dispatcher and the man who answers the phone at seven on a Sunday. One crew can be run that way. Two cannot, and four certainly cannot. The COO owns everything that happens after a job is sold.

Yours from day one

- **Crews.** Scheduling and dispatch, daily readiness, hiring and keeping foremen and laborers, training, and the pay structure that makes good people stay.
- **Job costing.** What each job was estimated at against what it actually cost, every week, so pricing gets better instead of being guessed at.
- **Quality and callbacks.** A failed french drain is a warranty visit, a bad review and a lost referral. The best actual-cost study (ASCE, 2026) puts measured rework at 0.38% of contract value before completion and 0.76% including post-completion fixes - far below the 12%+ often quoted, which conflated rework with change orders. The real cost of a callback here is not the labour, it is the review and the referral you never get.
- **Equipment and fleet.** Maintenance intervals, downtime, rent-versus-own decisions, and keeping six figures of iron working.
- **Purchasing and vendors.** Supplier terms, aggregate and pipe pricing, rental relationships.
- **Safety.** See the box on the right. This one is not optional.

What stays with Charlie

Pricing and the price book, customer relationships and design, capital equipment purchases, borrowing, owner distributions, and the final word on hiring at foreman level and above. The split matters less than the fact that it is written down - see page 7.

The part that makes this a real job, legally

A contractor digging trenches is regulated under **OSHA 29 CFR 1926 Subpart P**. The standard requires a designated **competent person** - someone with specific training and experience who has *authorisation to take prompt corrective measures*, including pulling crews out of a trench where there is any evidence of possible cave-in or a hazardous atmosphere.

At one crew, Charlie is the competent person. At four crews on four sites, one man physically cannot be. Somebody has to build and own a real programme - designation, training records, daily inspections, soil classification, stop-work authority.

That is a concrete deliverable, a legal obligation, and the clearest answer to anyone who asks whether a company this size needs a COO.

What it pays

\$57,000

base salary in year 1, plus a target bonus of 22% - \$69,540 in total cash

\$146,400

total cash in year 5, when the company is running four crews and 19 people

\$189,100

total cash in year 10, at six crews and about \$4.95M of revenue

	Year 1	Year 2	Year 3	Year 5	Year 10	Year 15
Base salary	\$57,000	\$95,000	\$95,000	\$120,000	\$155,000	\$185,000
Bonus at target	\$12,540	\$20,900	\$20,900	\$26,400	\$34,100	\$40,700
Total cash	\$69,540	\$115,900	\$115,900	\$146,400	\$189,100	\$225,700
What the bar pays you now	\$128,375	\$131,905	\$135,533	\$143,090	\$163,877	\$187,683
Difference that year	-\$58,835	-\$16,005	-\$19,633	\$3,310	\$25,223	\$38,017

Read the bottom row before anything else. In years one and two this pays you *less* than the bar does - about \$58,835 less in year one. That is not a negotiating position, it is arithmetic: a \$1.1M company cannot carry a market Baton Rouge COO salary. The BLS median for a General and Operations Manager in this metro is \$107,140 and the mean is \$136,200, and paying that in year one would be over 12% of everything the company takes in.

The salary steps are tied to the size of the company, not to the calendar: under \$1.5M of revenue it is \$95,000; from \$1.5M to \$3M it is \$120,000; from \$3M to \$6M it is \$155,000; above that, \$185,000. You are not waiting on a review - the raise happens when the business gets there, and you are the person most able to make it get there. **The bonus is deliberately tied to operational targets you control** - gross profit per crew-day, job-level margin, callbacks, crews staffed - and not to net profit, which the owner controls through discretionary spending and which turns into an argument every year.

Year one in this table already reflects where you actually are - about three days a week while the bar is still yours, so year one's base is that share of the full number above, not the full number itself. The day the bar sells (or you hand it off) and you are in full-time, the salary steps up to the full schedule the same month - it is a switch, not another negotiation.

What you would own

Salary is what you are paid for the work. Equity is what you get for building something that did not exist. The proposal is **12% of the company, vesting over four years with a one-year cliff** - nothing if you leave inside twelve months, then a quarter a year.

	Year 1	Year 2	Year 3	Year 5	Year 10	Year 15
Vested	25%	50%	75%	100%	100%	100%
Your share of the company	3.0%	6.0%	9.0%	12.0%	12.0%	12.0%
What the whole company is worth	\$737,130	\$793,607	\$973,792	\$1,781,926	\$5,168,219	\$13,454,922
What your stake is worth	\$0	\$3,389	\$21,300	\$125,376	\$531,731	\$1,526,135

Written as a profits interest - and why that matters to you

- It pays on **the growth from the day you arrive**, not on what Charlie has already built. Under Revenue Procedure 93-27 that makes it **not a taxable event when it is granted** - you are not handed a tax bill on something you cannot sell.
- When it eventually pays, it is taxed as a **capital gain**, not as income.
- It costs Charlie none of today's value, which is the only reason a grant this size is realistic at all. The equivalent in cash would be impossible.
- **The catch, stated plainly:** a profits interest makes you a partner rather than an employee. You would receive a K-1 instead of a W-2, owe self-employment tax, and file quarterly estimates. That is a real administrative burden you do not have today.
- **There is an alternative** - phantom equity, which tracks exactly the same value but keeps you on a W-2 and gives the company a tax deduction it does not otherwise get. It is taxed at ordinary rates rather than capital-gains rates, so the company can gross the payment up and both sides can still come out ahead. Which of the two is better depends on your own tax position. **It should be a priced decision, not a default.**

What you would be giving up

You have a business that pays you today. This one asks you to take less for two years in exchange for a share of something bigger. Here is that trade with nothing hidden.

-\$74,840

cumulative cash you would be BEHIND by the end of year 2

\$41,353

cash plus vested equity by year 5 - the year it turns

\$574K

cash plus equity by year 10, against staying where you are

The bar sale is the biggest risk, and it is not in the table

- Bars took a **median 189 days on the market** in 2025 - and that only counts the ones that sold.
- Across all small businesses with under \$500,000 of earnings, **only about 10-15% of those listed for sale ever complete a transaction.** The median bar earns its owner around \$128,000, which puts it squarely in that bracket.
- Food and beverage transaction volume fell **12% over the last year**, and the median restaurant sale price fell 12% with it. This is not a strengthening market for a seller.
- Median bar sale price in 2025 was **\$270,000** against a median asking price of \$310,000 - about 87% of ask.
- **What this means practically: do not make the start date depend on the sale.** Plan on nine to eighteen months, and a genuine possibility of no sale at all. If the bar has a manager who can run it, there may be a version of this where it is still yours for the first year.

The year it turns is year 4. Before that you are behind. Anyone who tells you otherwise is selling.

What the table cannot price

- **A salary arrives whether it rained or not.** Owning a bar means owning every slow Tuesday. That difference in the shape of the risk is worth real money and it is not in any of these numbers.
- **The bar's sale proceeds are yours either way.** They are not part of this comparison - whether you put them into the business is a separate decision, and the default in the model is that you do not.
- **A ceiling.** A bar is worth roughly two and a half to three times what it earns you, and that is close to fixed. A share of a company going from one crew to seven is not.
- **What you already know.** Twenty-five years of knowing Charlie is not on the balance sheet, but it is the reason this conversation is happening rather than a recruiter's.

Can the business actually pay for all of this?

Charlie draws a wage. Ned takes a base and a share of growth. You would take a salary and a bonus. All of it comes out of the same operating profit - so here is that arithmetic, with nothing netted off.

	Year 1	Year 2	Year 3	Year 5	Year 10	Year 15
Operating profit before any of the three	\$309,346	\$298,686	\$355,431	\$471,947	\$1,029,166	\$1,696,230
Charlie - owner draw	\$150,000	\$150,000	\$150,000	\$150,000	\$150,000	\$150,000
Ned - base plus growth share	\$75,935	\$74,869	\$86,543	\$104,195	\$170,376	\$249,062
Bryan - salary plus bonus	\$69,540	\$115,900	\$115,900	\$146,400	\$189,100	\$225,700
Credit: the ops manager you replace	\$0	\$0	\$0	-\$82,622	-\$98,129	-\$116,546
Paid to the three, net	\$295,475	\$340,769	\$352,443	\$317,973	\$411,348	\$508,216
Left in the company	\$13,871	-\$42,082	\$2,988	\$153,974	\$617,819	\$1,188,014
Leadership as a share of revenue	26.7%	30.2%	24.0%	12.6%	8.3%	6.9%

Years one and two are tight and the table says so. After all three are paid, only \$13,871 stays in the business in year one and -\$42,082 in year two - the leadership team costs nearly a quarter of revenue. That is what deliberately hiring ahead of yourself looks like, and it is survivable only because the growth arrives. By year five the same three people cost under 10% of revenue and \$153,974 stays in the company.

Two things make year one affordable at all. **The operations manager credit:** the plan was always going to hire an operations manager once it hit three crews - you replace that hire, so from year three onward your net cost to the business is roughly \$63,778 rather than \$146,400. **And the start date is a dial, not a fixed point:** if year one looks too thin, you start in year two once the second crew has proved itself. The model has that as a single changeable input.

How this goes wrong

The failure everyone in this position describes

It is not money and it is not competence. It is **the owner taking the job back**. Charlie has done every one of these tasks himself for years, and the instinct to step in is not malice - it is muscle memory. The specific damage is this: **when the owner overrules the COO in front of a crew, the crew learns who the real decision-maker is**, and from that day every instruction gets routed around you. The failure is usually complete before anyone admits there is a problem.

- **The second one:** handing over a process that was never written down. An undocumented process handed over is just a re-enactment of the founder's memory - it goes wrong, and he takes it back, and both people conclude the other one failed. **Documentation has to come before delegation, not after.**
- **The third:** unclear decision rights, which turns every ordinary disagreement into a question about status rather than about the business.
- **The fourth:** pacing. Charlie works in bursts of ideas; an operator needs steady execution. Both are right and both will find the other frustrating.

Friendship is the complication, not the solution

Twenty-five years is why this could work and also why it could end badly. The honest sentence is this: **the friendship raises the cost of the conversation you most need to have, which is exactly why it has to happen before the first dollar moves.**

Specifically, five things get written down while everyone is still comfortable:

- What happens to the equity **if it does not work out** - the vesting schedule, the repurchase formula, and who determines the value.
- That Charlie **retains the right to terminate**, said out loud and in writing, so the friendship is not quietly carrying an unspoken guarantee of tenure.
- A written statement of **decision rights**, so disagreements are procedural rather than personal.
- A **named third party** - the company's CPA or an outside advisor - as the tiebreaker. Two friends have no mechanism to break a deadlock.
- A **separation protocol** that keeps the equity settlement separate from the employment ending, so neither can be used as leverage over the other.

None of the above assumes bad faith by anybody. It assumes that two people who like each other will avoid a hard conversation until it is expensive. That is simply what happens.

What the first ninety days look like

	Days 1-30	Days 31-60	Days 61-90
Build	Ride every job. Learn the work from the trench up - you cannot run what you have not done. Baseline the numbers nobody currently tracks: revenue per crew-day, hours per job against estimate, callbacks.	Stand up the daily huddle and the weekly work plan. Write down the job-readiness checklist - what must be on the trailer before a crew leaves the yard. Start the OSHA competent-person programme.	Own the schedule outright. Take the dispatch phone off Charlie. Run the first monthly job-cost review against estimates.
Agree	The decision-rights document: your spending limit, your hiring authority, the discount floor below which pricing comes back to Charlie.	The bonus targets for year one, in writing, with the numbers you are actually measured on.	The first quarterly review of what is working, held with Charlie and Ned together.
Measured on	Nothing yet - you are establishing the baseline. Anyone who sets targets before there is a baseline is guessing.	Schedule adherence and crew utilisation. Both are leading indicators - they move before the money does.	Gross profit per crew-day against the baseline you set in month one, and the callback rate.

A note on metrics, because it matters

There are **no published productivity benchmarks for drainage or excavation crews** - not for revenue per crew-day, not for jobs per crew per week, not for utilisation. Anyone quoting you an industry figure for those has invented it. So the honest structure is that the first ninety days establish Scag Scapes' own baseline, and you are measured against improvement on that, not against a number somebody made up. The two external anchors that do exist and are worth knowing, both corrected against the latest data: measured rework is **0.38% of contract value before completion and 0.76% including post-completion fixes** (ASCE, 2026 - the 12%+ figures widely quoted elsewhere conflated rework with change orders), and construction runs a **3.9% monthly separation rate against 3.5% for private industry overall** (JOLTS, July 2026) - roughly 47% annualised churn. At about 21% of salary to replace somebody, that is near \$9,600 a head, and at eight crews halving it is worth \$50,000-\$100,000 a year. **Retention, not rework, is the bigger number** - which is a more useful thing to know than the figure most people in this industry repeat.

Why Charlie should want this as much as you do

A business that needs its owner is worth less than one that does not. What Charlie gets back

This is the strongest argument for the role and it has nothing to do with day-to-day convenience. Businesses that depend on the owner being present transact at roughly **2.93 times pre-tax profit**. Businesses that run without him transact at about **4.49 times** - a swing of more than half the multiple. On this plan's year-five profit that difference is worth several hundred thousand dollars, and it is created almost entirely by somebody other than Charlie being able to run the company.

A caveat, since this document has been honest so far: those multiples come from a commercial valuation platform that does not publish its sample size or methodology. It is the most widely cited figure in the field and it is directionally right, but it is vendor data, not independent research.

The stronger version of the argument does not need the multiple at all: **roughly half of all owner exits are involuntary** - illness, burnout, family,

The proposal in one sentence: you take less money than you make today for about two years, in exchange for running the company outright and owning a share of everything it becomes - and Charlie gives up a share of a business he could not have grown alone in exchange for one he can eventually step back from and sell.

- **His own job back.** Selling, estimating, designing, and the customer relationships - the work only he can do, and the work that actually generates the revenue.
- **A company that can grow past two crews.** The ceiling on a business run entirely by one person is roughly where Scag Scapes is now.
- **Somebody accountable for the field.** Not helping with the field - accountable for it.
- **A real answer to a lender.** The capital plan for this growth rests partly on the business being creditworthy and eventually sellable. Both of those improve the moment there is a management team rather than one man.
- **Someone he has trusted for twenty-five years** in the one seat where trust matters most, because the COO sees every number and every mistake first.

Where the numbers come from

Every figure in this document is either computed in the Scag Scapes financial model or drawn from the sources below, all verified in September 2026.

COO / General and Operations Manager pay, Baton Rouge metro

BLS OEWS May 2025: median \$107,140, mean \$136,200, 25th \$74,000, 75th \$167,430, 8,230 employed. [bls.gov/regions/southwest](https://www.bls.gov/regions/southwest)

Specialty trade contractors, national

BLS OEWS May 2025, NAICS 238, General and Operations Managers: median \$104,850, mean \$124,940.

Baton Rouge cost of living

11% below the national average; housing 22% below. rentcafe.com cost-of-living calculator, September 2026.

Construction executive compensation

CFMA 2025 Compensation Survey: Operations Manager average base \$171,489 plus \$52,057 bonus. Respondents are mid-to-large contractors - included for direction, not as a comparable.

COO equity norms and vesting

Typical non-founder COO grants 1-5% with a one-year cliff and four-year vest; an operating partner who brings a business with him sits well above that band. [huntclub.com](https://www.huntclub.com)

Profits interests

Rev. Proc. 93-27 and 2001-43; hurdle must be a contemporaneous, substantiated valuation; 83(b) filed within 30 days; recipient becomes a partner with K-1 and self-employment tax. [thetaxadviser.com](https://www.thetaxadviser.com),

Rhantom equity alternative

No tax at grant, holder stays W-2, company receives an ordinary deduction at payout. [thetaxadviser.com](https://www.thetaxadviser.com), Oct 2019

Bar and tavern sale values

BizBuySell, 1,074 sold listings 2021-2025: median price \$299,500, median revenue \$800,000, median SDE \$134,923, earnings multiple 2.73x. 2025 alone: 217 sales, median price \$270,000, median SDE

Odds of a small business selling at all

Exit Planning Institute 2025 State of Owner Readiness via DueDilio: 70-80% of listed businesses never complete a sale; under \$500K of earnings the completion rate is 10-15%.

Food and beverage market direction

BizBuySell Q2 2026: restaurant transactions down 12% year on year, median restaurant sale price down 12%.

OSHA trenching competent person

29 CFR 1926 Subpart P; 1926.651(k)(2) requires authorisation to take prompt corrective measures. [osha.gov/etools/construction/trenching/competent-person](https://www.osha.gov/etools/construction/trenching/competent-person)

Rework cost

Construction Industry Institute Research Team 252: rework costs 2% to 20% of contract amount on a typical project. [construction-institute.org](https://www.construction-institute.org)

Construction turnover

BLS JOLTS 2025 annual average total separations: construction 4.0% monthly against 3.6% for total private. [bls.gov/news.release/jolts.t20.htm](https://www.bls.gov/news.release/jolts.t20.htm)

Owner dependence and value

Value Builder System: owner-dependent businesses about 2.93x pre-tax profit, owner-independent about 4.49x. Commercial platform data - sample and methodology not published.

Involuntary exits

Exit Planning Institute 2023 National State of Owner Readiness: roughly half of owner exits are not planned.

Visionary / integrator failure modes

Wickman and Winters, Rocket Fuel, and the EOS practitioner literature. Consistent practitioner opinion across independent sources, not survey data.

Partnership between friends

US Chamber of Commerce guidance on business partnerships: written agreement, valuation and exit provisions agreed before starting.

Everything financial

Scag Scapes LLC financial model, tabs 'Bryan - COO proforma', 'Who gets what' and 'Long range 15-yr'. Every input is changeable; these are outputs of stated assumptions, not predictions.

Not advice, and not an offer. This is a basis for a conversation. Nothing in it should be signed without Bryan's own attorney and accountant reviewing it, and the tax treatment of any equity depends on his personal circumstances. The financial projections are arithmetic on stated assumptions, every one of which can be changed - they are not a forecast and not a promise.